

1.

CASE #	CASE NAME	HEARING NAME
CVPS2502853	J & Q LAND DEVELOPMENT CONSTRUCTION, INC. VS PROJECT X DEVELOPER, INC.	CROSS-DEFENDANT JAY ALAN SU'S JOINDER TO DEFENDANT AND CROSS-DEFENDANT PROJECT X DEVELOPER INC.'S MOTION TO STAY PROCEEDINGS AND TO COMPEL ARBITRATION

Tentative Ruling: Golden Star's allegations against Jay Alan Su are subject to the same arbitration provision. Golden Star pleads its claims against Jay Alan Su and Project X Developer, Inc. as one controversy. The Cross-Complaint defines them collectively as the "PX Cross-Defendants," alleges that Project X is Su's alter ego, and attributes the same alleged promises, receipt of payments, project conduct, and resulting liability to both.

Those allegations bring the claims against Su within settled non-signatory-enforcement principles. For example, in *Rowe v. Exline* (2007) 153 Cal.App.4th 1276, 1284-1285, the Court of Appeal held that individuals sued as alter egos of a signatory corporation could enforce the corporation's arbitration agreement. Having alleged that Jay Alan Su and Project X Developer, Inc. are legally indistinguishable for purposes of liability, Golden Star cannot treat them as strangers for purposes of enforcing the arbitration provision.

Equitable estoppel leads to the same result. A signatory may be required to arbitrate claims against a non-signatory when those claims rely on, presume the existence of, or are intertwined with the contract containing the arbitration provision. (*Boucher v. Alliance Title Co., Inc.* (2005) 28 127 Cal.App.4th 262, 269-272; *Rowe, supra*, 153 Cal.App.4th at pp. 1287-1290.) Every claim against Su arises from the duties, payments, work, and alleged breaches governed by the construction contract.

Golden Star does not address the application of *Rowe* or equitable estoppel to the allegations it elected to plead. Its sole response is that no arbitration agreement exists. Because the executed A101 establishes Golden Star's agreement to arbitrate, that premise fails.

There is no third party exception under CCP § 1281.2(c):

Although J & Q's affirmative complaint has been dismissed, J & Q remains a cross-defendant to Golden Star's Cross-Complaint. J & Q's continued presence, however, does not itself permit the Court to deny arbitration. CCP § 1281.2(c) applies only if a party to the arbitration agreement is also involved in pending litigation with a third party arising from the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact.

Here, Golden Star does not identify any common issue whose separate resolution creates a possibility of conflicting rulings. Nor does Golden Star distinguish the obligations arising under the owner-contractor Agreement from the rights and duties arising from J & Q's separate relationship with the parties. The bare assertion that the claims are "intertwined" does not establish the statutory predicates.

Even if the Court finds CCP § 1281.2(c) applicable, denial of arbitration is only one of four statutory alternatives. The Court may order arbitration among the parties who agreed to arbitrate and stay the pending action or affected claims. (CCP § 1281.2.) That

disposition gives effect to the parties' written agreement while avoiding any identified risk of inconsistent adjudications.

CRC rule 3.1330 is satisfied:

Golden Star's reliance on California Rules of Court, rule 3.1330 does not resolve the formation question in its favor. The rule requires the arbitration provisions to be stated verbatim or a copy of the agreement to be attached and incorporated by reference. The moving papers quoted section 6.2 of the executed A101, which contains Golden Star's express arbitration selection, and attached the signed A101 itself. The moving papers also placed before the Court the A201-2017 provisions expressly identified in section 6.2. Rule 3.1330 does not require each incorporated Contract Document to be separately executed or physically attached to the signature document. Here, the dispositive arbitration selection appears verbatim in section 6.2 of the executed A101: "[a]rbitration pursuant to Section 15.4 of AIA Document A201-2017." Rule 3.1330 provides no basis to disregard that written selection.

Cross-Defendant Jay Alan Su's Joinder to Defendant/Cross-Defendant Project X Developer Inc.'s Motion to Stay Proceedings and Compel Arbitration GRANTED.

The Court stays the pending action, to include Cross-Defendant J&Q Land Development Construction, Inc., to avoid inconsistent adjudication.

2.

CASE #	CASE NAME	HEARING NAME
CVPS2502853	J & Q LAND DEVELOPMENT CONSTRUCTION, INC. VS PROJECT X DEVELOPER, INC.	HEARING ON MOTION TO COMPEL ARBITRATION

Tentative Ruling: Upon the petition/motion of a party to an agreement to arbitrate, the court must grant a petition to compel arbitration unless it finds: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for revocation of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (CCP § 1281.2.) A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v. State Farm Mutual Auto Insurance Co.* (1975) 14 Cal.3d 473, 479.) The petition/motion to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (CRC 3.1330; see also *Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218-19.)

"In ruling on a petition to compel arbitration, the trial court may consider evidence on factual issues relating to the threshold issue of arbitrability . . . Parties may submit declarations when factual issues are tendered with a motion to compel arbitration." (*Engineers & Architects Assn. v. Community Development Dept.* (1994) 30 Cal.App.4th 644, 653.) In the summary proceedings on a motion to compel arbitration, "the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination." (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.)